ability to oppose China) is doomed to evaporate. Similarly, a visit to one of China's most influential think tanks revealed an almost monolithically negative view of Japan. Numerous analysts expressed their skepticism about Japan's intentions in the South China Sea, perhaps revealing a concern for increased Japanese activity in the region. "Japan wants to get out from under the [postwar] US system and end the alliance," one analyst asserted in the closed-door session. Another criticized Tokyo for "playing a disruptive role" in Asia, and for creating a loose alliance against China. Underlying many of these feelings among Chinese elite is a refusal to accept Japan's legitimacy as a major Asian state, tinged with more than a little fear that Japan may be the only Asian nation, along perhaps with India, that can prevent China from reaching certain goals, such as maritime dominance in Asia's inner seas.

The sense of distrust between China and Japan reveals not only longstanding tensions but also a window into the insecurities felt by both countries as they contemplate their respective positions in Asia. These insecurities and tensions combine to create the competition that each is waging against the other, even as they maintain extensive economic relations.

V.

Increasingly, Chinese and Japanese foreign policies in Asia appear to be aimed at countering the influence—or blocking the goals—of each other. This competitive approach is taking place in the context of the deep economic interactions noted above, as well as the surface cordiality of regular diplomatic exchanges. In fact, one of the more direct clashes is taking place over regional trade and investment.

With its head start on economic modernization and postwar political alliance with the United States, Japan helped shape Asia's nascent economic institutions and agreements. The Manila-based Asian Development Bank (ADB), founded in 1966, has always been led by a Japanese president working closely with the American-dominated